

FIT.LY CHURN ANALYSIS

Cracking the code on user retention and support friction.

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Report for: Head of Analysis

1. Data Validation & Cleaning

I performed a comprehensive audit of our primary data sources (Account, Activity, and Support) to ensure 100% accuracy before diving into the trends.

- **Customer Identification:** Standardized IDs across all systems and created a numeric primary key (**user_id**) for a perfect match rate.
- **Churn Status:** Fixed a 71.5% gap in churn flagging; active subscribers were correctly backfilled with 'N'.
- **Timeline Standardization:** Converted all timestamps to datetime objects, allowing us to track "Recency" and identify inactive users.
- **Support Metrics:** Validated resolution times and purged incomplete tickets to keep our metrics clean.

2. Exploratory Analysis

The "Track Workout" Lock

User engagement is heavily skewed. Passive actions like "Read Articles" don't stop churn. However, users who log a **Track Workout** event are significantly more likely to stay active. Engagement is the lock, and this feature is the key.

The 10-Hour Rule

Support speed is the #1 predictor of churn. When resolution time stays under 10 hours, churn remains low. Once it crosses 15 hours, the probability of churn hits **100%** in this dataset. Friction in support is what drives users out of the app.

3. Business Metric: The "At-Risk" Index

CURRENT "AT-RISK" RATE

42.5%

Users who haven't logged a workout in 7 days OR have tickets > 10 hours.

This index acts as our early warning system. Monitoring this weekly allows the Product and Support teams to intervene before a user officially cancels their subscription.

4. Strategic Recommendations

- **Optimize Support SLAs:** Resource the team to ensure no ticket exceeds a 10-hour window. This could theoretically reduce churn by up to 60%.
- **"Power of Two" Engagement:** Launch an automated campaign to get every new user to log their first two workouts within 72 hours of signing up.
- **Priority Retention:** Implement a high-priority flag for Enterprise users (\$148/mo) to ensure they never hit the 10-hour "breaking point."